Start a business in Sacramento step by step

These steps are for a business in Sacramento County outside the cities of Sacramento, Citrus Heights, Elk Grove, Folsom, Rancho Cordova, Galt and Isleton. A Sacramento mailing address doesn't always mean the city: county addresses use it too. You can check yours on the county parcel map: assessorparcelviewer.saccounty.gov. If your address is inside a city, the city issues your license, and the other steps stay the same.

1 Choose how you'll operate

A sole proprietor doesn't register with the state. LLCs and corporations register with the Secretary of State, and you can file online.

- **LLC $70 (Articles of Organization, form LLC-1). Corporation $100 (Articles of Incorporation)**

bizfileonline.sos.ca.gov
sos.ca.gov/business-programs/business-entities/forms/limited-liability-companies-california-domestic

2 File the Statement of Information

LLCs and corporations file it within 90 days of registering. After that an LLC files every two years and a corporation every year. Missing it costs a $250 penalty.

- **LLC $20, corporation $25**

sos.ca.gov/business-programs/business-entities/forms/limited-liability-companies-statement-information
sos.ca.gov/business-programs/business-entities/forms/corporations-statement-information

3 Plan for the $800 state tax

An LLC pays it every year, even with no business, until it is cancelled. The first payment is due by the 15th day of the 4th month after you register: register on June 18, pay by September 15. The first-year exemption only covered LLCs from 2021–2023. A corporation also pays $800, starting in its second year. An LLC with $250,000 or more in California income also owes a fee, from $900.

- **$800 a year, paid to the Franchise Tax Board (FTB)**

ftb.ca.gov/file/business/types/limited-liability-company/index.html
ftb.ca.gov/file/business/types/corporations/index.html

4 Get an EIN tax number

The IRS issues it. Corporations, LLCs with several owners and anyone with employees need one. A single-owner LLC with no employees can use the owner's number, but a bank may ask for an EIN to open an account. Online you get it right away if the owner has an SSN or ITIN. With neither, send Form SS-4 by fax to 855-641-6935 (about 4 business days) or by mail (about 4 weeks).

- **Free**

irs.gov/businesses/small-businesses-self-employed/get-an-employer-identification-number

5 Register your business name

You need a Fictitious Business Name (DBA) if you work under your own name with a business name that leaves out your surname, or if your LLC uses a name other than the one on file with the state. File with the county at 700 H Street, Room 1710. Then run a newspaper notice once a week for four weeks in a row, starting within 45 days. File the newspaper's affidavit with the county within 45 days after the last run. It lasts 5 years.

— **$50.06 for one name and one owner, $8.52 for each extra name or owner; the newspaper charges separately**

finance.saccounty.gov/content/finance/us/en/tax/faqs/fbn.html
finance.saccounty.gov/content/finance/us/en/tax/forms/newspapers.html

6 Get the county business license

Every business in the county outside the cities needs a General Business License, including home-based and online ones. The county checks whether your business is allowed at the address, so ask the planning office before you pay: sacplan@saccounty.gov. Apply online or at 700 H Street, Room 1710, Mon–Fri 8:00 a.m.–4:45 p.m. Working without one is a misdemeanor with a fine of up to $500.

— **New $262.60 for 3 years. Renewal: $124.30 from home, $252.48 in a commercial space**

aca-prod.accela.com/SACCO/Default.aspx
finance.saccounty.gov/content/finance/us/en/tax/business-licensing/faqs.html

7 Selling goods? Get a seller's permit

You need one if you sell or lease items that are normally subject to sales tax. CDTFA issues it and you can apply online. They may ask for a security deposit, with the amount set when you apply.

— **Free**

cdtfa.ca.gov/taxes-and-fees/faqseller.htm

8 Hired someone? Register with EDD

Register as an employer within 15 days after you pay more than $100 in wages in a quarter. You do it online in e-Services for Business. By law every employer must carry workers' compensation insurance.

edd.ca.gov/en/payroll_taxes/step-1-register-as-an-employer
leginfo.legislature.ca.gov/faces/codes_displaySection.xhtml?lawCode=LAB&sectionNum=3700

Looking for an office for your new business? **Madison Business Center**, 5345 Madison Ave, offices from $500 a month. The building is in the county, outside the city, so its license is the county one (step 6). Call or message us on WhatsApp: 916-914-4407.

Checked against official websites on November 8, 2026. Fees change, so open the step's link before you file.